

CEO Decision Report

COMPANY ALPHA

Construction · SRL · Antwerp, Belgium · FY2023 – FY2024 – FY2025

Data anonymized. For strategic use only.

CONFIDENTIAL | GPS Fin Consulting

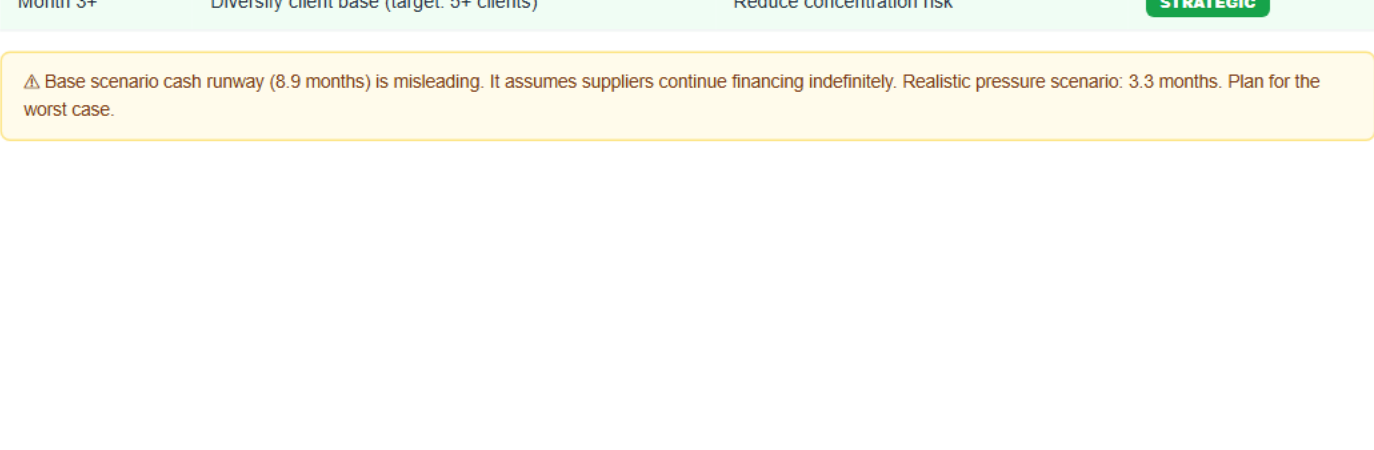
COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

01. EXECUTIVE SUMMARY

COMPANY ALPHA · FY2025 · FISCAL YEAR FY2023–FY2025

The company has swung from a modest net profit of 3503.5 EUR in the prior year to a net loss of 6575.0 EUR, signaling a rapid deterioration in operating performance. Gross margin has collapsed from 14628.71 EUR to just 32.36 EUR, effectively eliminating any buffer to cover fixed costs and overheads. Cash reserves stand at only 4871.75 EUR, providing a worst-case survival runway of 3.3 months. Without decisive corrective action on revenue, cost structure, and cash management, the business faces a critical liquidity crisis in the near term.



CRITICAL ISSUE 1

Profitability

The near total erosion of gross margin to 32.36 EUR from 14628.71 EUR indicates that the company is barely covering its direct costs, leaving nothing to absorb operating expenses. This profitability collapse must be investigated immediately for root causes including underpricing, cost overruns on projects, or loss-making contracts.

CRITICAL ISSUE 2

Cash & Safety Net

With only 4871.75 EUR in cash and a worst-case survival horizon of 3.3 months, the company has virtually no liquidity cushion to absorb any unexpected expense, delayed payment, or contract dispute. Immediate cash conservation and accelerated receivables collection are non-negotiable priorities.

CRITICAL ISSUE 3

Capital Structure

While the equity ratio has risen to 93.5% from 72.4%, this improvement is misleading in the context of a loss-making year and likely reflects a reduction in total assets or liabilities rather than genuine equity growth. A high equity ratio combined with negative ROE of -10.9% and negative ROA of -10.1% confirms that the asset base is not generating returns and the balance sheet strength is being quietly eroded.

RISK & KEY METRICS

Risk Level: **CRITICAL**

Cash Runway (stress): **3.3 months**

Equity Ratio: **93.5%**

Leverage (D/E): **0.07***

Net Result FY2025: **-€6,575**

TOP 3 ACTIONS — START THIS WEEK

1. Conduct a full weekly cash flow forecast for the next 13 weeks and identify the earliest point of potential insolvency to prioritize every financial decision around cash preservation. 2. Perform an immediate contract-by-contract profitability review to identify and halt or renegotiate any loss-making projects that are draining margin and cash. 3. Accelerate all outstanding client invoicing and collections, and open emergency discussions with key suppliers to extend payment terms and reduce immediate cash outflows.

Data anonymized. For strategic use only.

Page 2 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

02. 30-DAY ACTION PLAN

OPERATIONAL EXECUTION ROADMAP — PRIORITIZED BY URGENCY AND FINANCIAL IMPACT

TIMELINE	ACTION	FINANCIAL IMPACT	PRIORITY
Week 1–2	Raise prices +20% on all new contracts	Restore GM: negative → positive margin	URGENT
Week 1–2	Send overdue collection notices	Free up to EUR 4,600 cash	URGENT
Week 1–2	Apply for revolving bank credit line	Extend runway beyond 3.3 months	URGENT
Week 3–4	Require 30–50% advance on every new contract	Reduce WC need immediately	URGENT
Month 1–2	Formalize 60–90d AP terms with suppliers	Reduce payment pressure	HIGH
Month 1–2	Build 13-week rolling cash forecast	Early warning system	HIGH
Month 1–2	Factor receivables > €5,000 (cost: 2–3%)	Immediate cash conversion	HIGH
Month 3+	Per-project profitability tracking	Eliminate hidden losses	STRATEGIC
Month 3+	Stop all dividend distributions	Rebuild equity above 90%	STRATEGIC
Month 3+	Diversify client base (target: 5+ clients)	Reduce concentration risk	STRATEGIC

⚠ Base scenario cash runway (8.9 months) is misleading. It assumes suppliers continue financing indefinitely. Realistic pressure scenario: 3.3 months. Plan for the worst case.

Data anonymized. For strategic use only.

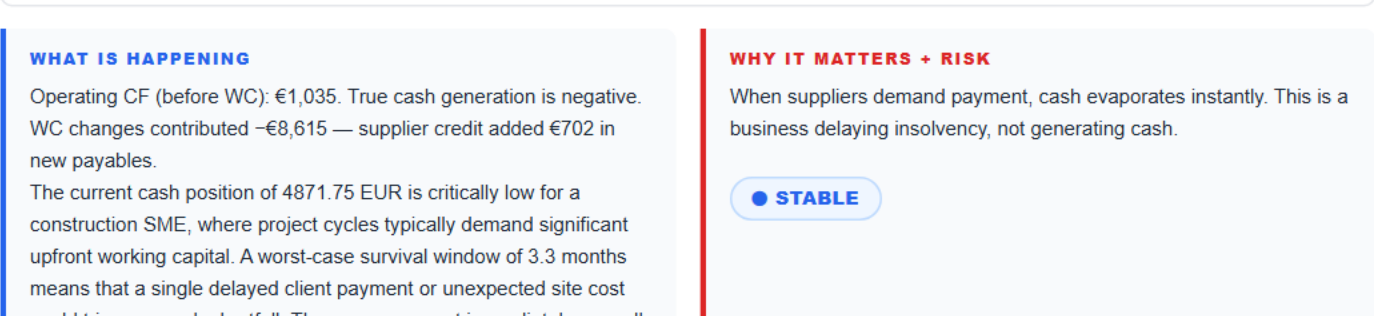
Page 3 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

03. FINANCIAL DIAGNOSTIC

Revenue & Profitability · Section 1/4



WHAT IS HAPPENING

Gross margin: €14,629 (FY2024) → €32 (FY2025). Net result: €3,504 → -€6,575. ROE: +5.2% → -10.9%. ROA: +3.8% → -10.1%.

WHY IT MATTERS

Every project you accept deepens losses. Revenue growth = accelerated cash destruction.

CRITICAL



WHAT IS HAPPENING

Revenue grew but costs grew faster. Gross margin from +8.3% to -1.0%. Operating charges (personnel, subcontractors) represent ~101% of revenue.

WHY IT MATTERS

The pricing model is fundamentally broken. Fix pricing before taking any new work.

CRITICAL

Data anonymized. For strategic use only.

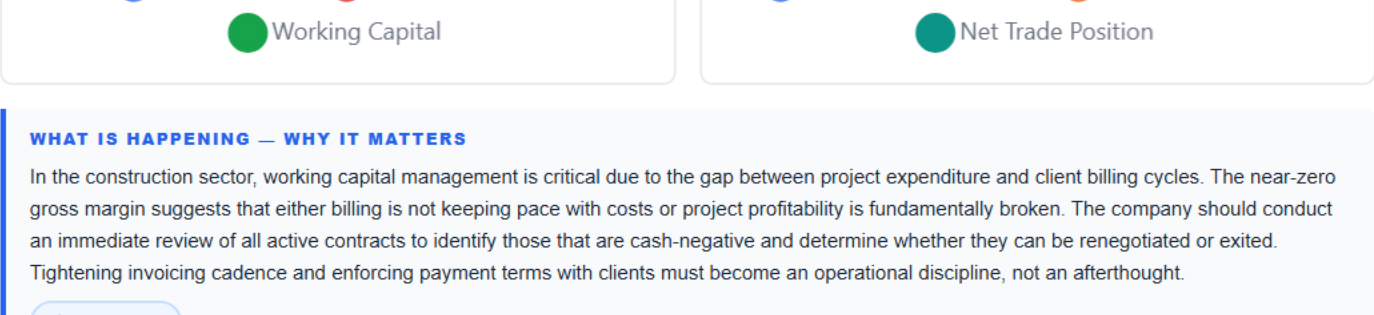
Page 4 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

03. FINANCIAL DIAGNOSTIC

Cash Flow · Section 2/4



WHAT IS HAPPENING

Operating CF (before WC): €1,035. True cash generation is negative. WC changes contributed -€8,615 — supplier credit added €702 in new payables.

The current cash position of 4871.75 EUR is critically low for a construction SME, where project cycles typically demand significant upfront working capital. A worst-case survival window of 3.3 months means that a single delayed client payment or unexpected site cost could trigger a cash shortfall. The company must immediately map all incoming and outgoing cash flows on a weekly basis to identify the earliest point of potential insolvency. Securing a credit facility or negotiating extended supplier payment terms should be treated as an emergency measure, not a strategic option.

WHY IT MATTERS • RISK

When suppliers demand payment, cash evaporates instantly. This is a business delaying insolvency, not generating cash.

STABLE

Data anonymized. For strategic use only.

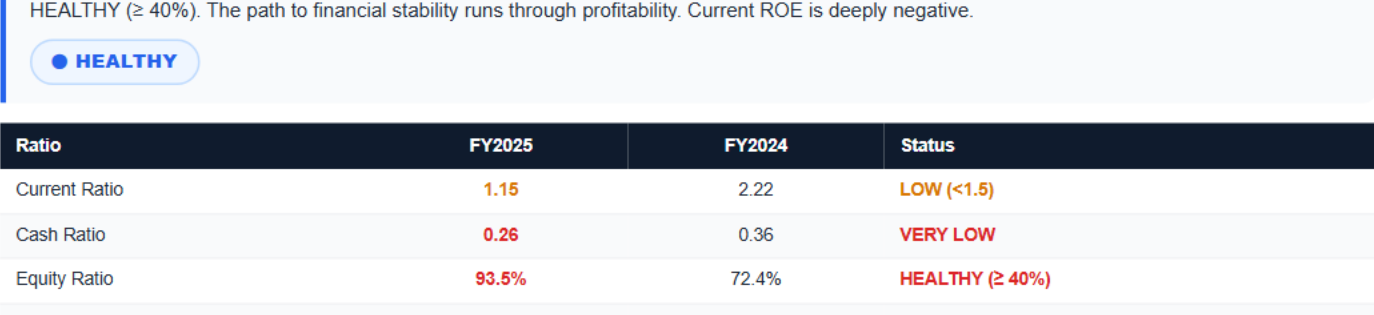
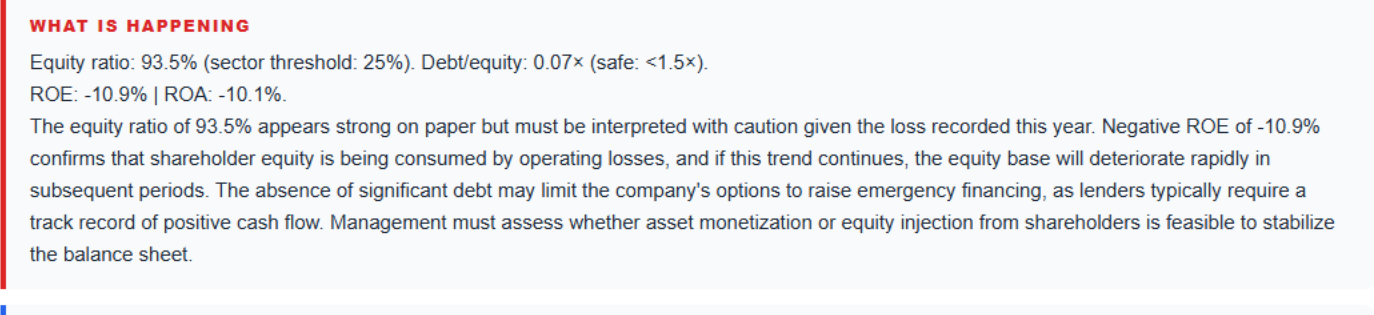
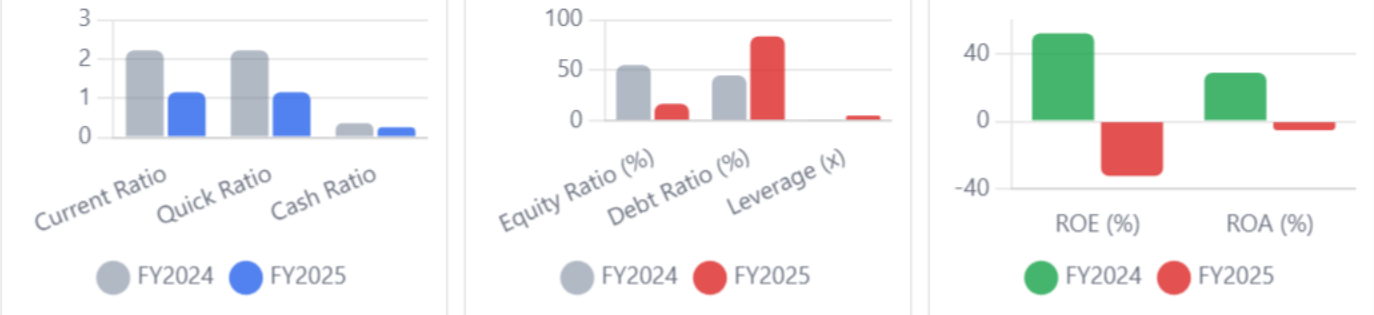
Page 5 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

03. FINANCIAL DIAGNOSTIC

Working Capital · Section 3/4



WHAT IS HAPPENING — WHY IT MATTERS

In the construction sector, working capital management is critical due to the gap between project expenditure and client billing cycles. The near-zero gross margin suggests that either billing is not keeping pace with costs or project profitability is fundamentally broken. The company should conduct an immediate review of all active contracts to identify those that are cash-negative and determine whether they can be renegotiated or exited. Tightening invoicing cadence and enforcing payment terms with clients must become an operational discipline, not an afterthought.

STABLE

Data anonymized. For strategic use only.

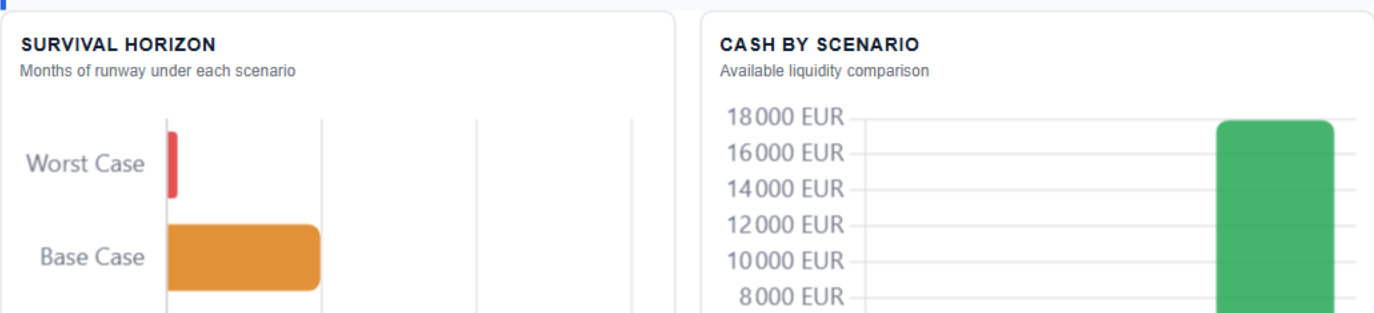
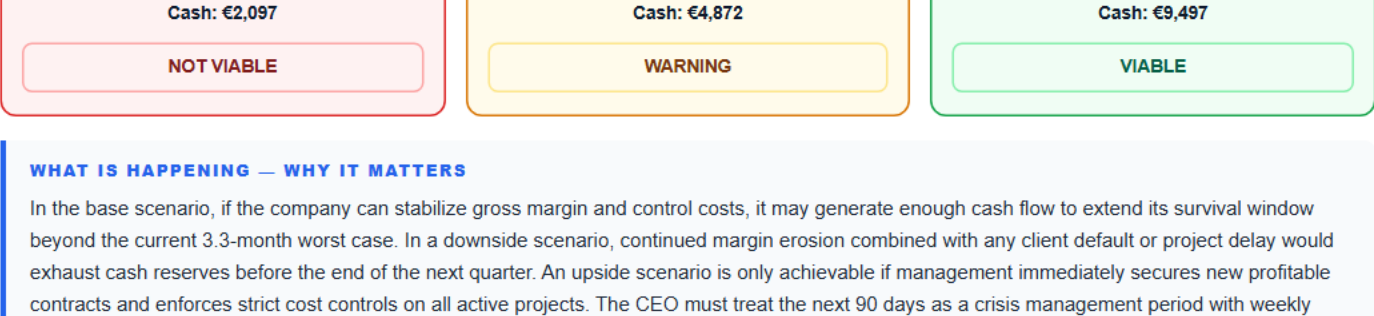
Page 6 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

03. FINANCIAL DIAGNOSTIC

Financial Position · Section 4/4



WHAT IS HAPPENING

Equity ratio: 93.5% (sector threshold: 25%). Debt/equity: 0.07* (safe: <1.5*). ROE: -10.9% | ROA: -10.1%.

The equity ratio of 93.5% appears strong on paper but must be interpreted with caution given the loss recorded this year. Negative ROE of -10.9% confirms that shareholder equity is being consumed by operating losses, and if this trend continues, the equity base will deteriorate rapidly in subsequent periods. The absence of significant debt may limit the company's options to raise emergency financing, as lenders typically require a track record of positive cash flow. Management must assess whether asset monetization or equity injection from shareholders is feasible to stabilize the balance sheet.

WHY IT MATTERS

HEALTHY (≥ 40%). The path to financial stability runs through profitability. Current ROE is deeply negative.

HEALTHY

Ratio	FY2025	FY2024	Status
Current Ratio	1.15	2.22	LOW (<1.5)
Cash Ratio	0.26	0.36	VERY LOW
Equity Ratio	93.5%	72.4%	HEALTHY (≥ 40%)
Debt/Equity	0.07*	0.36*	VERY HIGH
ROE	-10.9%	+5.2%	NEGATIVE
ROA	-10.1%	+3.8%	NEGATIVE

Data anonymized. For strategic use only.

Page 7 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

04. SCENARIO ANALYSIS

SURVIVAL HORIZON MODELLING — THREE SCENARIOS



WHAT IS HAPPENING — WHY IT MATTERS

In the base scenario, if the company can stabilize gross margin and control costs, it may generate enough cash flow to extend its survival window beyond the current 3.3-month worst case. In a downside scenario, continued margin erosion combined with any client default or project delay would exhaust cash reserves before the end of the next quarter. An upside scenario is only achievable if management immediately secures new profitable contracts and enforces strict cost controls on all active projects. The CEO must treat the next 90 days as a crisis management period with weekly financial monitoring and clear go/no-go decision points.



What must be true for success: (1) No client defaults; (2) All new contracts priced at +20%; (3) 50% advance payments from all new clients; (4) Bank credit line secured within 30 days. Without all four conditions, the base case is unsustainable.

Data anonymized. For strategic use only.

Page 8 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

05. KEY RISKS & WATCHPOINTS

FIVE CRITICAL RISK FACTORS REQUIRING ACTIVE MONITORING AND MITIGATION

RISK

1. Complete cash exhaustion within 3.3 months if no immediate action is taken to improve inflows or reduce outflows. 2. Continued margin collapse on construction contracts, driven by cost overruns or underpriced tenders, that could deepen losses in the next reporting period. 3. Inability to access external financing due to negative profitability metrics, leaving the company without a safety net if working capital gaps emerge.

Data anonymized. For strategic use only.

Page 9 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting

06. STRATEGIC RECOMMENDATIONS

FROM DIAGNOSIS TO ACTION — PRIORITIZED BY IMPACT AND FEASIBILITY

URGENT — 0 TO 2 WEEKS

1. Conduct a full weekly cash flow forecast for the next 13 weeks and identify the earliest point of potential insolvency to prioritize every financial decision around cash preservation. 2. Perform an immediate contract-by-contract profitability review to identify and halt or renegotiate any loss-making projects that are draining margin and cash. 3. Accelerate all outstanding client invoicing and collections, and open emergency discussions with key suppliers to extend payment terms and reduce immediate cash outflows.

STRATEGIC — 3+ MONTHS

1. Redesign the tendering and pricing process to embed minimum gross margin thresholds on all new contracts, ensuring no project is accepted that does not cover full direct and allocated overhead costs. 2. Evaluate whether the current business model, revenue mix, and geographic focus are viable, and consider refocusing on higher-margin project types or service lines where the company has a competitive advantage. 3. Engage the shareholders to discuss a potential equity injection or shareholder loan to provide a minimum 12-month liquidity buffer while the operational turnaround is executed.

Data anonymized. For strategic use only.

Page 10 of 10

COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

CONFIDENTIAL | GPS Fin Consulting